Case	Title / Nature of Case

3:00 PM
LINE: 1

23-CIV-03702 **DAVID MEJIA VS SCRAM OF CALIFORNIA, INC.**

DAVID MEJIA	**NICHOLAS J DE BLOUW**
SCRAM OF CALIFORNIA, INC.	**SAM G SHERMAN**

PLAINTIFF DAVID MEJIA'S MOTION FOR PRELIMINARY APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT

TENTATIVE RULING:

For the reasons stated below, Plaintiff David Mejia's Motion for Preliminary Approval of Class Action and PAGA Settlement is **DENIED without prejudice.**

The Court has identified several issues that preclude preliminary approval at this time. (Cal. Rules of Court, rule 3.769; Lab. Code, § 2699, subd. (l)(2).)

On August 7, 2023, Plaintiff filed this class action against his employer, SCRAM of California, Inc. Plaintiff alleges several Labor Code violations, but the operative pleading in this action does not assert a PAGA claim. According to the motion, Plaintiff filed a separate PAGA action against Defendant in Orange County Superior Court. Through the proposed settlement in this San Mateo County action, the parties agree that Plaintiff will dismiss the Orange County PAGA action without prejudice.

The parties must provide an explanation, supported by authority, as to how this Court has authority to approve a settlement term requiring dismissal of an action that is not before this Court and was not filed in San Mateo County. The parties must also explain why dismissal of the separate PAGA action will not prejudice putative aggrieved employees or otherwise impair the statutory interests implicated by PAGA.

The parties must also clarify why the settlement defines "Aggrieved Employees" and a "PAGA Period" if the settlement requires dismissal of Plaintiff's PAGA action without prejudice. In addition, the proposed notice states: "Plaintiff will dismiss all PAGA claims alleged in the Representative Complaint, without prejudice, and the remaining $7,500.00 will be distributed to Aggrieved Employees as the Aggrieved Employee Payment." (Proposed Notice, § 3.) These terms are not adequately addressed in the settlement agreement or the motion. The parties must clarify whether the settlement includes a PAGA payment, whether any amount will be allocated to the LWDA, and how the proposed PAGA-related distribution is authorized if the PAGA action is being dismissed without prejudice.

As to the class claims, the proposed settlement class is defined as "all persons who are employed or have been employed by Defendant in the state of California as hourly, non-exempt SCRAM Agents at any time within the period beginning August 7, 2019, and ending on the date the Court grants preliminary approval." The parties must define "SCRAM Agent" and explain why the settlement class is limited to that group.

The Court also cannot determine, on the present record, whether the proposed settlement is within the range of reasonableness. Plaintiff states that he provides exposure estimates so the Court can compare the estimated exposure to the settlement amount. However, Plaintiff does not provide actual exposure estimates. Instead, Plaintiff describes Defendant's defenses and Plaintiff's acknowledgment of those defenses. If Plaintiff contends that Defendant's defenses reduce the realistic exposure to zero or to a particular discounted amount, Plaintiff must say so directly and provide the analysis supporting that conclusion.

The motion also does not provide the estimated average Individual Settlement Payment. Plaintiff relies on the estimated average recovery to support the requested attorney's fees, but the average recovery is not actually provided. The parties must provide the estimated gross and net average Individual Settlement Payment, the estimated highest and lowest payments, and the anticipated deductions from the gross settlement amount.

The requested costs of $45,000 appear preliminarily high, particularly because Mr. Webb of Webb Law Group estimates his firm's costs at only $563.35. The parties must provide additional information supporting the requested cost amount, including a breakdown by category and by firm.

Plaintiff argues that the requested service award is reasonable in part because Plaintiff will provide a general release of all claims. However, the settlement agreement does not appear to include such a release. The parties must clarify whether Plaintiff is providing a general release and, if so, identify the settlement provision containing that release.

The settlement agreement states that uncashed checks will be sent to the California State Controller or, if that is not feasible, to an approved cy pres recipient, such as Legal Aid at Work. The proposed notice, however, identifies a different cy pres recipient, Community Law Project. The parties must explain what "not feasible" means in this context and clarify whether they seek approval of a cy pres recipient. If so, the parties must identify the proposed recipient and explain its connection to the claims and class members.

The Court recommends that the deadline for opt-outs and objections be changed to 60 days from the date of mailing of the notice packets. The settlement also does not appear to provide a deadline for class members to submit workweek disputes. The Court recommends that this deadline also be 60 days from mailing.

Finally, the proposed notice must be revised to reflect this Court's correct information. In addition, the proposed order contains a deadline for the settlement administrator to send class notice that differs from the deadline in the settlement agreement. The parties must review the settlement agreement, proposed notice, and proposed order for consistency and clarify which deadline is correct.

For these reasons, preliminary approval is **DENIED without prejudice**.

Posted: 3:00 P.M.